

● UNIT 2 · TOPIC 2.6

Point of Sale & Currency Rules

Same flight, different country, different price — why?

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.6

CLASS

INQUIRY

PERIOD

PERIOD 6

DURATION

40 MIN

FARE

FREE**FARE
CHECKED**

- TOPIC 2.6

Now Showing: Topic Intro



UNIT 2 · TOPIC 2.6

FARE CONSTRUCTION PRINCIPLES

Point of Sale & Currency Rules

Same flight, different country, different price – why?

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CLASS SEM III FARE FREE

FARE CHECKED

AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.6

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● TOPIC 2.6

The Ticket Puzzle

**THINK ABOUT IT**

Why might the same ticket cost more when bought in Singapore than in Mumbai?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



● TOPIC 2.6

Your Fare Itinerary

1

2.6.1

Understanding POS: impact on fare pricing and availability

2

2.6.2

Currency rules: how fares vary with country of sale and exchange rates

3

2.6.3

POS rules: effect on taxes, fees and fare types

4

2.6.4

Examples: how POS changes booking and ticket prices in different locations

**BY THE END, YOU WILL**

- Explain why POS affects fares
- Describe IATA currency rules (NUC, ROE, LCF)
- Identify POS-based tax and fare differences
- Investigate real POS price differences

Pedagogy: Inquiry-Based Learning

● TOPIC 2.6.1

Why Point of Sale Matters

**Market demand**

Airlines price to what each market will pay.

**Market-only fares**

Some fares are filed only for sale in one country.

**Availability**

Seat inventory can be controlled by POS.

**INQUIRY QUESTION**

Why might a Mumbai-Singapore return ticket cost more when bought in Singapore than in Mumbai? List three possible reasons before we explore.



• TOPIC 2.6.1

POS Controls Used by Airlines



Sales Restrictions

ATPCO Cat 15: where and by whom a fare may be sold.



Agency Location

GDS knows the agency's country (pseudo city code).



Card Country

Websites may check billing country.

● TOPIC 2.6.2

IATA Currency Toolkit

Term	What it means
NUC	Neutral Unit of Construction — common unit to add international fare components
ROE	IATA Rate of Exchange — converts NUC to local currency (updated regularly)
LCF	Local Currency Fare — fare in currency of the country of commencement
BSR	Bankers' Selling Rate — converts LCF to a different payment currency
Rounding	Each currency has IATA rounding rules for fares and taxes

● TOPIC 2.6.2

Sale in One Currency, Travel in Another



● TOPIC 2.6.3

POS Effects on Taxes, Fees & Fare Types

**Taxes**

Some taxes depend on where the ticket is sold (e.g., sales taxes).

**Fees**

Service fees and ticketing fees differ by market.

**Fare Types**

Student or promo fares may be sold only in one country.

**Commission**

Agency commission rates vary by market.

● TOPIC 2.6.4

POS in Action (Illustrative)

Same economy return BOM-SIN, same dates, different point of sale.

₹28k

sold in India (INR)

SGD 520

sold in Singapore ≈ ₹33k

AED 1,450

sold in UAE ≈ ₹33k



Differences come from market fares, currency conversion, taxes and fees. Airlines can restrict fares so they can only be bought in the origin market.

● TOPIC 2.6.4

Ethics & Rules for Agents

**Follow sales rules**

Selling a fare outside its permitted market can trigger an ADM.

**Be transparent**

Explain currency and card charges to the passenger.

**Compare legally**

Use permitted fares and markets only.

**ADM**

Agency Debit Memo: an airline's bill to an agency for wrong pricing, rule breaches or misuse of fares. POS errors are a common cause.



● TOPIC 2.6.4

Inquiry Findings Template

**Observe**

Record prices for one route from 2-3 POS (e.g., airline country sites).

**Convert**

Convert to INR at today's rate.

**Explain**

Which factors explain the difference?

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Ticket Office Workshop: Price Around the World



PEDAGOGY

Inquiry-Based Learning

TIME · 12 min

FORMAT · Groups of 3

1

Pick one international route and date.

2

Check the fare on the airline's India site and one other country site.

3

Convert all prices to INR and record taxes shown.

4

Present your inquiry: why are the prices different?



● TOPIC 2.6

Click to reveal each answer

Fare Check Quiz

Q1

The IATA rate used to convert NUC to local currency is...

- A) BSR
- B) ROE
- C) LCF
- D) TPM

ANSWER**B****Q2**

LCF stands for...

- A) Local Currency Fare
- B) Low Cost Fare
- C) Last Class Flown
- D) Level Carrier Fee

ANSWER**A****Q3**

Selling a fare outside its permitted market can lead to...

- A) A refund
- B) An ADM
- C) A free upgrade
- D) Nothing

ANSWER**B****Q4**

ATPCO category for sales restrictions is...

- A) Cat 3
- B) Cat 8
- C) Cat 15
- D) Cat 33

ANSWER**C**

TICKET STAMPED

Key Takeaways

- ✓ POS affects fares, availability, taxes and fees
- ✓ $\text{NUC} \times \text{ROE} = \text{LCF}$; BSR converts to another payment currency
- ✓ Some fares can be sold only in specific markets
- ✓ Wrong POS use can lead to ADMs

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Topic 2.7 — Prorating and Interline Agreements

Thank you · Questions?